

Ultra Sound Money: Ethereum's Post-Merge Supply Dynamics and Monetary Premium

A Data-Driven Analysis of ETH's Monetary
Properties

Current Supply: ~121.6M ETH

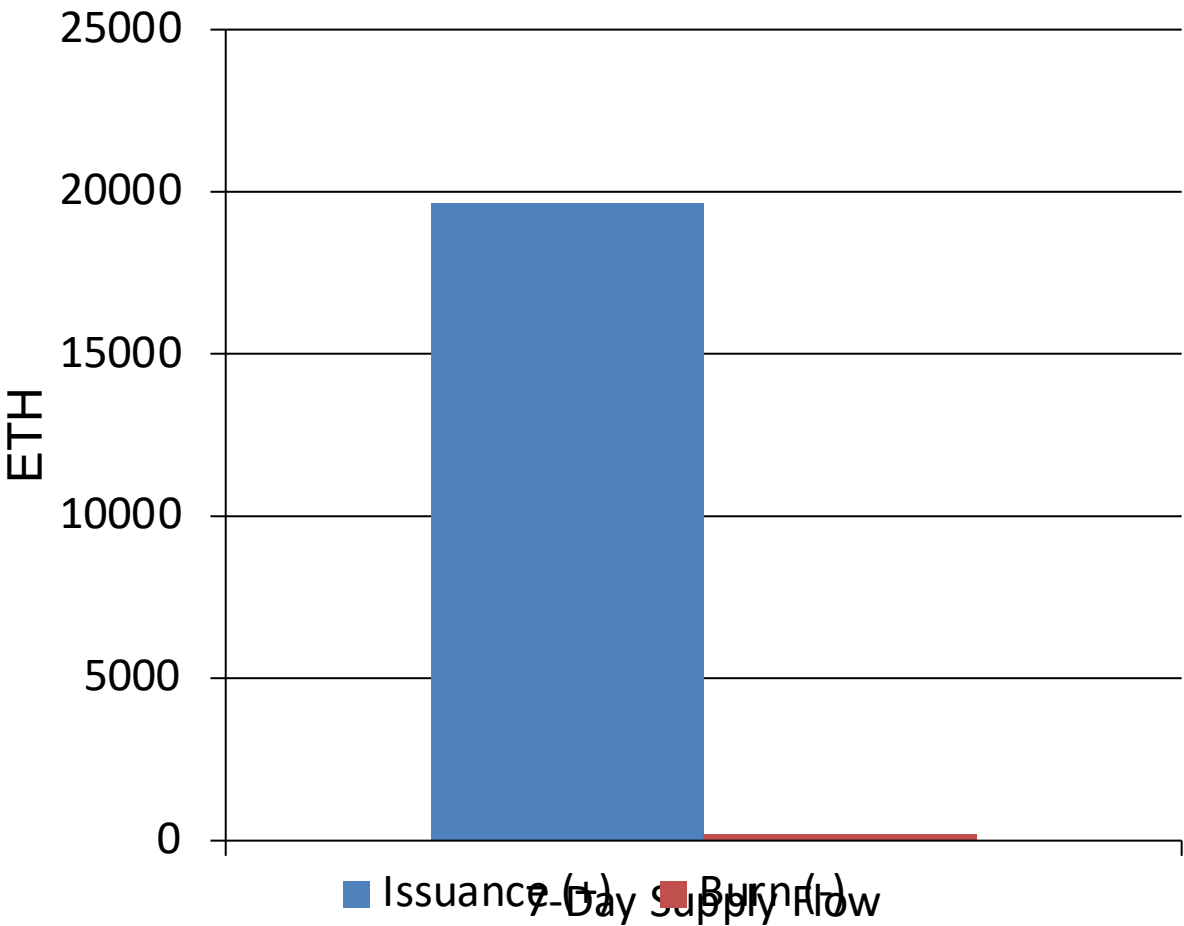
Current Gas: ~0.1 Gwei

ETH Price: ~\$2,243

ETH Supply Growing at +0.83%/Year with Only 192 ETH Burned in 7 Days

7-Day Supply Change Snapshot

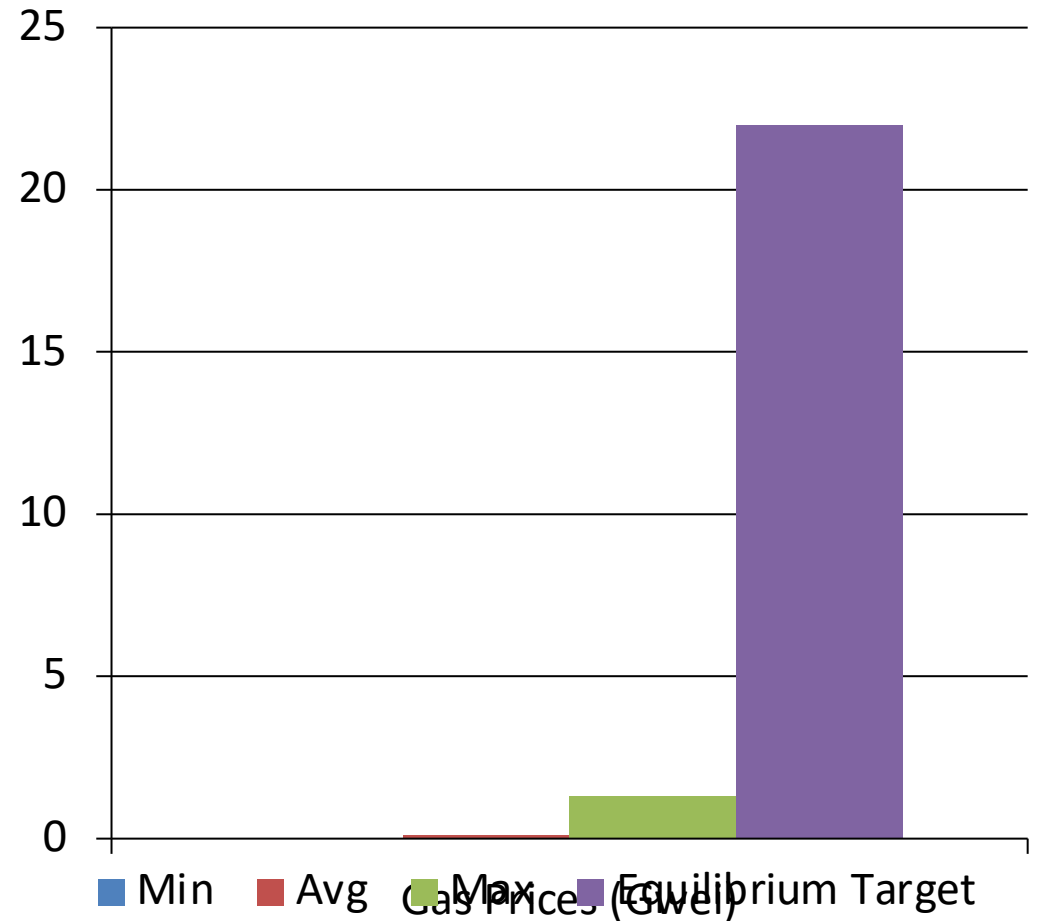
- Net Change: +19,445.89 ETH
- Total Issued: 19,638.29 ETH
- Total Burned: 192.39 ETH
- Current Supply: 121,603,980 ETH
- Issuance Offset Ratio: 0.01x (~1% of issuance)



Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

EIP-1559 Mechanism & Gas Market

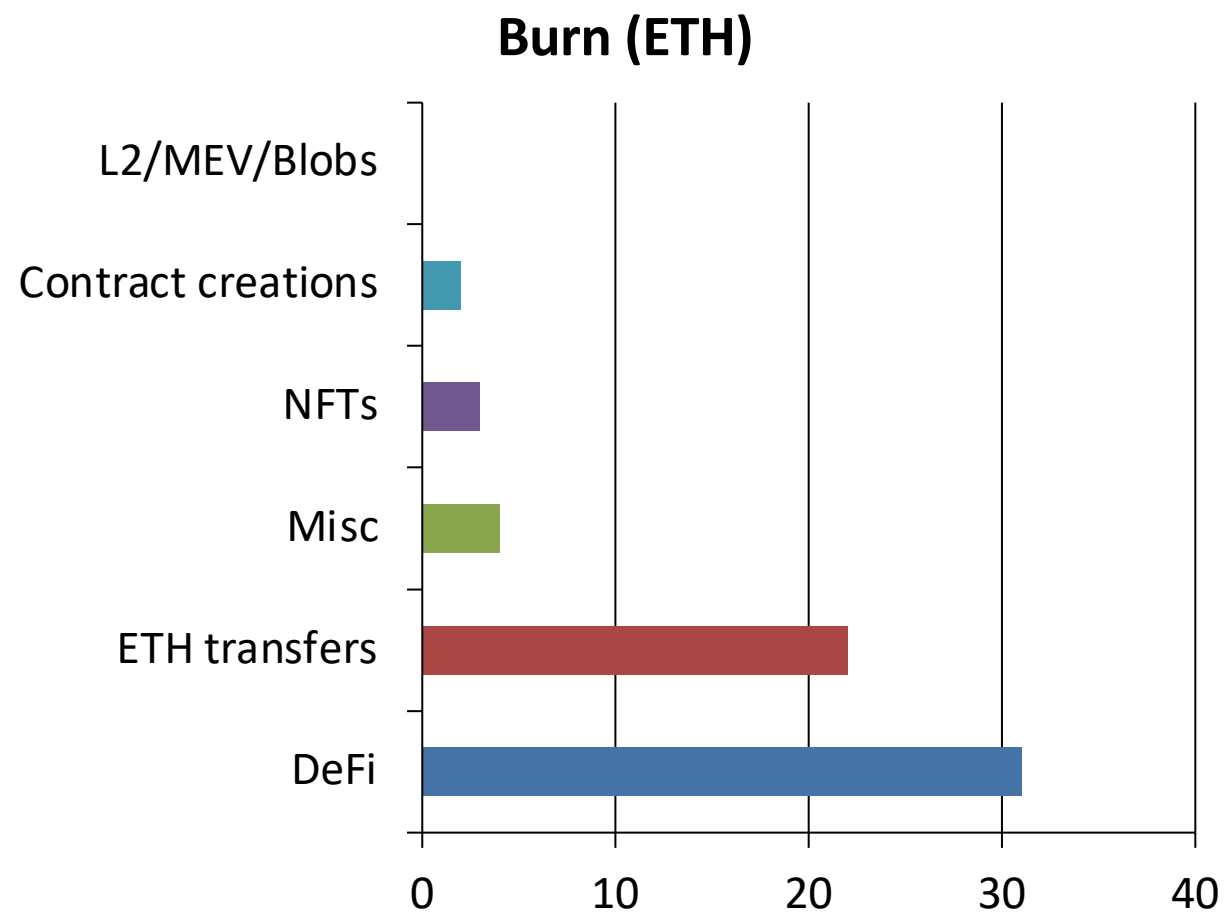
- Current Gas: Min 0.0, Max 1.3, Avg 0.1 Gwei
- Blob Gas (EIP-4844): Avg ~7.1M wei
- Only 0.15 ETH (\$319) in blob fees burned in 7 days
- Projection Target: 22 Gwei average required for structural deflation
- Result: Low base gas leads to low burn, yielding temporary supply inflation.



DeFi and ETH Transfers Account for 85% of Weekly Fee Burn

Weekly Burn Leaderboard

- Total 7-day Burn: ~192 ETH
- ETH Transfers: 21.74 ETH
- Tether (USDT): 13.55 ETH
- L2 / MEV / Blob fees: 0 ETH

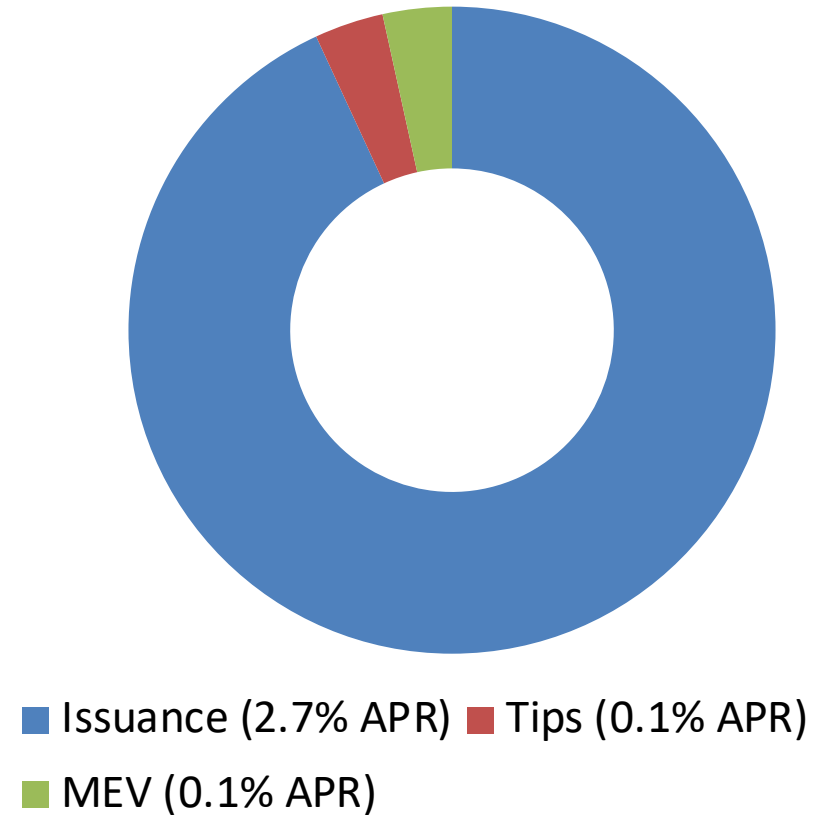


38.9M ETH Staked at 2.7% Issuance Rewards with Minimal Tips and MEV

Staking Engine Dynamics

- Total Staked: 38.9M ETH (~32% of total supply)
- Lockup Engine: 9.1M ETH locked in contracts for avg 10.7 years
- PoS Issuance: ~2,800 ETH/day (0.9 ETH/validator)
- Fee Burn Equivalent at 22 Gwei: ~2,200 ETH/day
- Current Reward Composition: Issuance drives yield.

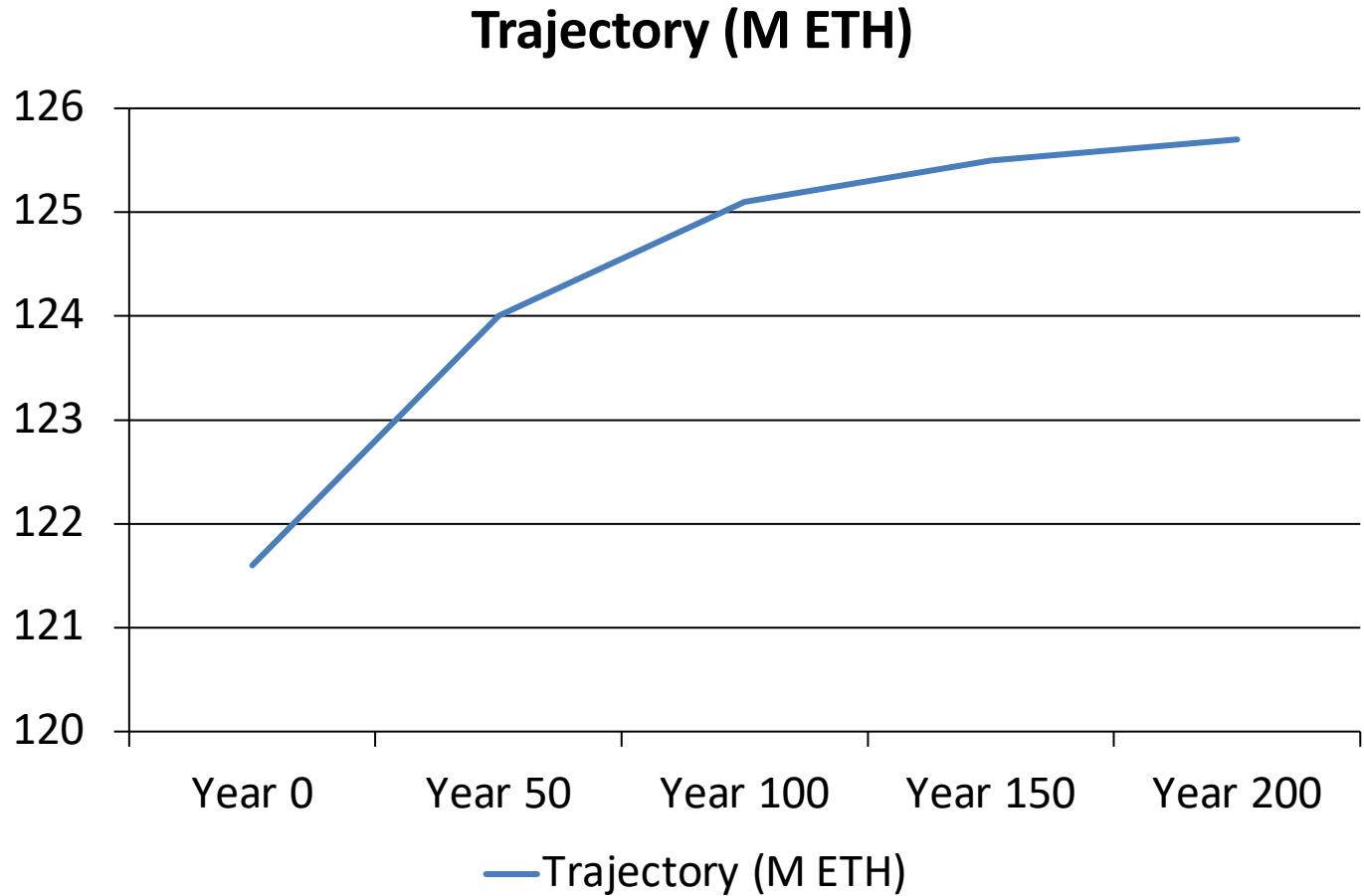
APR Breakdown



Long-Term Equilibrium Projected at 125.7M ETH with 1,037K ETH/Year Issuance-Burn Balance

200-Year Projection Model

- Assumed Staked ETH: 39M
- Assumed Base Gas: 22 Gwei
- Equilibrium Target: 125.7M ETH
- Balance: 1,037K ETH/yr issuance vs burn
- Historical Eras: Genesis (5 ETH/block) → Merge (PoW removed)



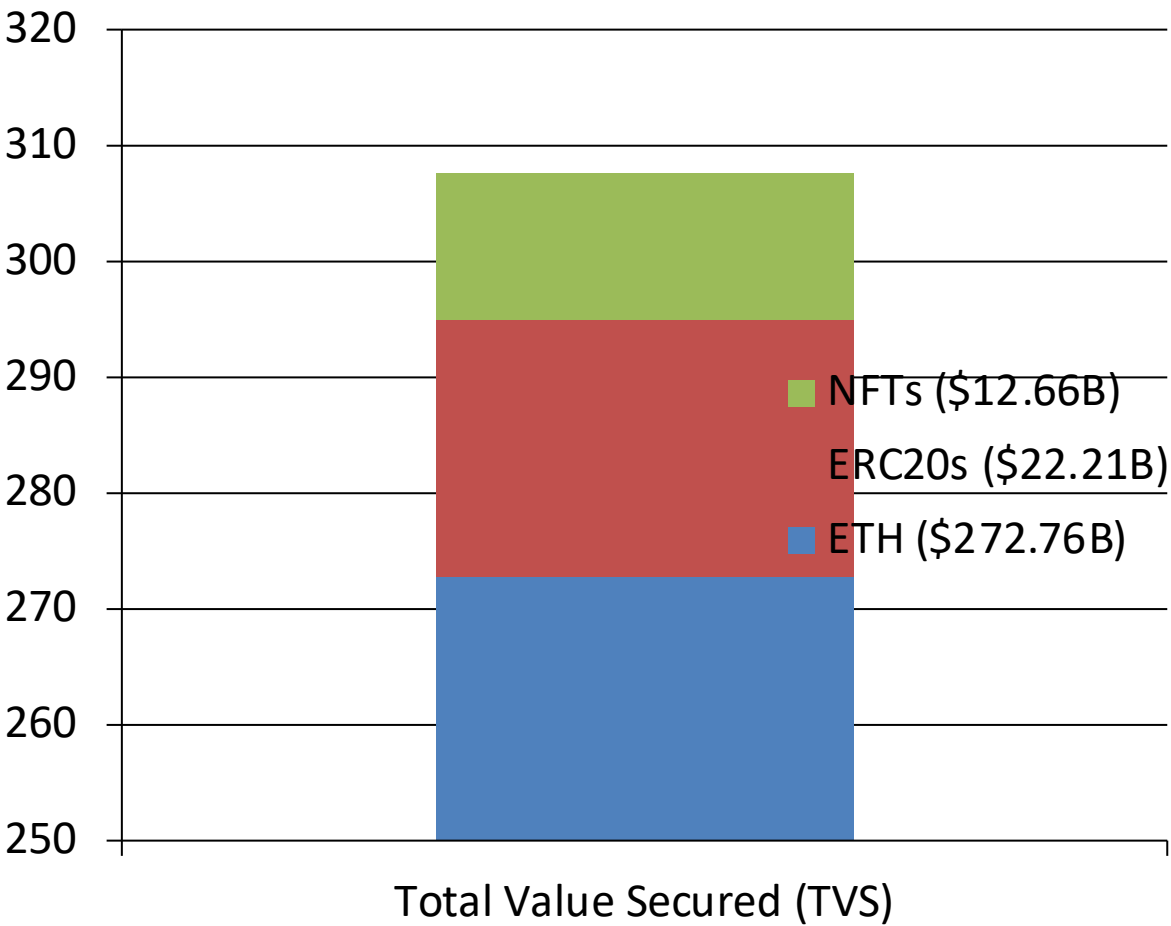
ETH at 18.7% of Bitcoin's Market Cap, Securing \$272B in Native Value

Market Penetration

- Bitcoin: 18.70%
- Gold: 0.89%
- USD: 1.30%

Top Secured Assets

- ERC20s: Dai (\$4.41B), SHIB (\$3.51B)
- NFTs: CryptoPunks (\$2.13B)



Key Takeaways: Ultra Sound Money Thesis Intact but Gas Activity Is the Critical Variable

- 1. ETH is currently slightly inflationary at +0.83%/yr due to historically low gas (avg 0.1 Gwei).
- 2. The EIP-1559 burn functions perfectly but requires sustained on-chain activity to be deflationary.
- 3. 38.9M ETH staked creates a strong underlying supply lock and scarcity engine.
- 4. Long-term equilibrium at 125.7M ETH is structurally sound under an assumed 22 Gwei baseline.
- 5. Flipping metrics and \$307B+ TVS confirm an established, growing monetary premium.
- **Forward-Looking Implication: The fundamental architecture of**